

Equity Group Plc: 3Q21 Earnings Note

Equity Group 3Q21 net earnings edged up by **78.64%** to KES **26.87Bn** which was above our expectations of a KES 19.26Bn PAT, while the **EPS** also grew by **77.61%** to **KES 6.93.** The impressive growth in the bottom line was mainly driven by a 25.46% growth in operating income to **KES 80.46Bn** and a 65.17% decline in Loan Loss provisioning to **KES 5.14Bn**. This was in line with our expectations backed by improving economic conditions in operating countries and the sector's performance.

- **Reginal Subsidiaries drive growth:** The BCDC bank in Congo recorded an impressive 125% y/y surge in PAT to **KES 2.2Bn** on the back of improving macro-economic conditions. BCDC continues to be the most profitable regional subsidiary and we believe that going forward, DRC will be a key driver of growth. The subsidiary's ROaE of 11.1% in 3Q21 (versus 10.0% in 3Q20) still remains below the group's average of 24.0%. Additionally, we remain concerned about the high cost to income ratio (73.6% in 3Q21) and we expect costs to remain elevated as it is still in the investment phase.
- **Interest Income growth in tandem with Loan book growth:** Interest income surged 28.65% y/y to **KES 67.00Bn** on the back of a 23.16% y/y rise in loans and advances to customers as economic conditions continue to improve. In 3Q21, the yield on loans marginally increased to 8.0% from 7.9% in 3Q20. We expect the yield on loans to improve driven by increased yield on loans to the SME and MSME sectors.
- **Digital payments buoy NFI Growth:** Non Interest income was in line with our expectations having grown by 23.34% to **KES 48.49Bn** mainly driven by digital banking. Therefore, the revenue mix shifted to 60:40 for NI:NFI from 61:39 in 3Q21.
- **Asset quality improves:** The NPL ratio improved to **8.9%** from **10.4%** in 3Q20, which is below the current industry average of **14.0%.** Loan loss provisions declined by **65.17%** y/y to **KES 5.14Bn** which was above our expectations**.** Improving economic conditions have created a better operating environment as seen by 68.9% of the restructured loans resuming payments. We expect the bank's asset quality to continue improving as the sector recovers from the impact of the pandemic

Outlook

We expect the use of digital channels to drive Non interest Income with the continued recovery in operating markets economies expected to reduce lending risk and consequently the provisioning. The bank's lending will be supported by the focus on more SME credit and sector specific initiatives such as trade and infrastructure funding in subsidiary markets in Rwanda, Uganda and DR Congo.

8th November 2021

Current price: KES 49.90

Target price: KES 50.60

Upside: 1.4%

52 Week High: KES 54.25

52 Week Low: KES 32.75



Analyst

Sarah Wanga
+254114842208
sw@aibaxysafrica.com

Solomon Kariuki
+254114842208
ks@aibaxysafrica.com

Table 1 : Financial Statement Summary

Income Statement (KES Millions)	30-Sep-2021	30-Sep-20	% Change
Interest Income	67,003	52,080	28.65%
Interest Expense	(18,518)	(12,769)	45.02%
Net Interest Income	48,485	39,311	23.34%
Non Interest Income	31,974	24,818	28.83%
Total Operating Income	80,458	64,128	25.46%
Loan Loss Provision	(5,140)	(14,758)	-65.17%
Other Operating expenses	(38,695)	(30,517)	26.80%
Profit Before Tax	36,624	19,760	85.34%
Tax	(9,750)	(4,717)	106.72%
Profit For the period	26,874	15,043	78.64%
Basic and Diluted EPS	6.98	3.93	77.61%
Gross NPL	56,185	51,761	8.55%

Balance Sheet (KES Millions)	30-Sep-2021	30-Sep-20	% Change
Cash Balances	60,710	56,915	6.67%
Gov Securities - HTM	13,636	17,118	(20.34%)
Gov Securities - AFS	347,668	205,722	69.00%
Net Loans	559,013	453,890	23.16%
Total Assets	**1,184,272**	**933,914**	**26.81%**
Customer Deposits	875,113	691,033	26.64%
Borrowed Funds	99,182	68,543	44.70%
Total Liabilities	**1,020,934**	**796,332**	**28.20%**
Total Shareholder Equity	**163,338**	**137,582**	**18.72%**

Source: Company filings, AIB-AXYS



CONTACTS:

Research Desk
Sarah Wanga
Head of Research

Solomon Kariuki
Research Analyst

Email: research@aib-axysafrica.com

Equities Dealing
Bernard Kung'u

Benard Gichuru

Brian Tanui

Samuel Githinji

Sheema Shah

Samuel Wachira

Nina Goswami

Email: trading@aib-axysafrica.com

Bond Dealing
Crispus Otieno

Titus Marenye

Email: trading@aib-axysafrica.com

Disclaimer

AIB-AXYS Africa and its parent company AXYS Group seek to do business with companies covered in their research reports. Consequently, a conflict of interest may arise that could affect the objectivity of this report. This document should only be considered a single factor used by investors in making their investment decisions. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. The opinions and information portrayed in this report may change without prior notice to investors.

This publication may not be distributed to the public media or quoted or used by the public media without prior and express written consent of AIB-AXYS Africa or AXYS Group.

This document does not constitute an offer, or the solicitation of an offer, for the sale or purchase of any security. Whilst every care has been taken in preparing this document, no representation, warranty or undertaking (express or implied) is given and no responsibility or liability is accepted by AIB-AXYS Africa or any of its employees as to the accuracy of the information contained and opinions expressed in this report.